**IN THE HIGH COURT OF JUSTICE**
BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
COMMERCIAL COURT (KBD)

**Claim No. CL-2025-000412**

B E T W E E N :

**BRACKEN GROUP PLC**

Claimant

- and -

**CALDERWOOD INDUSTRIES LIMITED**

Defendant

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**DEFENCE**

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1. Save as expressly admitted below, the Defendant denies each and every allegation in the Particulars of Claim as if the same were set out and traversed seriatim. No admission is made as to any allegation not expressly admitted herein.

2. Paragraphs 1 and 2 of the Particulars of Claim are admitted.

3. As to paragraph 3, it is admitted that the parties entered into the Supply Agreement in writing on 14 March 2023 for an initial term of 36 months. The total anticipated contract value of approximately £6,240,000 is not admitted; the value of orders actually placed by the Claimant fell materially below the figure pleaded, and the Claimant is put to proof of the figure.

4. Paragraph 4 is admitted.

5. As to paragraph 5, it is admitted that the Supply Agreement contained the express terms pleaded at sub-paragraphs (a) to (j). As to clause 7.4, the Defendant will rely upon the variation pleaded at paragraphs 7 and 8 below. As to clause 12, the Defendant avers that the limitation of liability there contained applies to limit any liability of the Defendant as set out at paragraph 17 below.

6. As to paragraph 6, no admissions are made as to the implied terms alleged, which are denied to the extent that they are inconsistent with, or would operate to enlarge, the express terms of the Supply Agreement, and in particular the warranties and the limitation of liability.

**The variation**

7. Paragraph 7 is denied. It is denied that clause 19 had the effect of precluding the variation hereinafter pleaded. The Defendant avers that the Supply Agreement was varied by oral agreement and/or by the conduct of the parties, alternatively that the Claimant is estopped from denying the variation, in the following circumstances.

8. In or about mid-July 2024, at a site meeting at the Sheffield Facility attended by Mr Gerald Doyle (the Defendant's Managing Director) and Mr Neil Hartley (the Claimant's Production Manager), it was orally agreed between the parties that, for the batches then in production, an operating tolerance of 380 bar would be acceptable in place of the 410 bar figure in clause 7.4. In reliance on that agreement the Defendant manufactured and delivered Assemblies to

the 380 bar tolerance, and the Claimant accepted and paid for such deliveries without complaint until on or about 21 August 2024. The Claimant is accordingly estopped from asserting the original 410 bar tolerance in respect of those batches.

**The alleged defects**

9. As to paragraph 8, it is admitted that Specification SP-HPX-440 rev. C in its unvaried form referred to a 410 bar figure, subject always to the variation pleaded above.

10. As to paragraph 9, it is admitted that a number of Assemblies delivered from August 2024 did not sustain 410 bar. It is denied that those Assemblies were defective. The Assemblies met the varied tolerance of 380 bar and were fit for the Claimant's purpose. The particulars of defect at sub-paragraphs (a) to (d) are not admitted and the Claimant is put to proof of each.

11. As to paragraph 10, it is admitted that the Defendant received the emails of 21 August, 9 September and 3 October 2024. It is denied that those emails constituted a valid rejection of the Assemblies or a valid notice under clause 7.6. The Defendant offered to inspect the Assemblies said to be non-conforming, but the Claimant did not make them available for inspection.

**Late and non-delivery**

12. As to paragraph 11, it is admitted that certain deliveries were made later than the dates specified in the relevant call-off orders. It is averred that the delays were caused or contributed to by (a) the Claimant's own failure to provide accurate rolling forecasts in accordance with clause 3, the Claimant having repeatedly altered and accelerated its requirements at short notice; and (b) a force majeure event within the meaning of clause 11 of the Supply Agreement, namely a fire at the premises of the Defendant's principal sub-contractor, Pennine Castings Limited, on or about 14 October 2024, which interrupted the supply of cast housings to the Defendant. The Defendant notified the Claimant of the fire and its likely effect.

13. It is admitted that call-off orders CO-2024-188 and CO-2024-201 were not delivered. It is averred that delivery against those orders was prevented by the force majeure event aforesaid, in respect of which the Defendant's obligations were suspended under clause 11.

**Repudiation and termination**

14. Paragraphs 12 and 13 are denied. It is denied that the matters alleged, whether individually or cumulatively, amounted to a repudiatory breach or deprived the Claimant of substantially the whole benefit of the Supply Agreement. The Defendant avers that the Claimant's purported termination by letter dated 28 February 2025 was itself a repudiation of the Supply Agreement, which repudiation the Defendant accepted by its conduct and/or by its solicitors' letter in reply.

**Loss and damage**

15. As to paragraphs 14 to 18, it is denied that the Claimant has suffered the loss and damage alleged, or any loss and damage. Each head of loss is not admitted and the Claimant is put to strict proof of the same.

16. If, which is denied, the Claimant suffered any loss, the Claimant failed to take reasonable steps to mitigate that loss, in particular by procuring replacement supply from Marlin Hydraulics Ltd at an unreasonably high unit price and without first obtaining competing quotations from other available manufacturers. The alleged cost of cover is excessive and unreasonable.

17. As to the alleged loss of profit of £2,100,000, it is specifically denied that any production downtime was caused by the Defendant, the causation alleged being denied; further or alternatively the figure is exaggerated and unsupported.

18. Further and in any event, the Defendant relies upon the limitation of liability at clause 12 of the Supply Agreement, which limits the Defendant's aggregate liability under or in connection with the Supply Agreement to the total price paid by the Claimant in the twelve months preceding the claim, namely approximately £2,080,000.

19. As to paragraph 19, the question of interest is a matter for the Court, and no admission is made as to the rate or period claimed.

20. Save as expressly admitted above, the Defendant denies that the Claimant is entitled to the relief claimed or to any relief.

**STATEMENT OF TRUTH**

The Defendant believes that the facts stated in this Defence are true. I am duly authorised by the Defendant to sign this statement. I understand that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed: .....

**Alistair Whitlock**

Partner, Pemberton Rowe LLP — Solicitors for the Defendant

Dated: 9 December 2025

Pemberton Rowe LLP, 14 Old Jewry, London EC2R 8DN — Solicitors for the Defendant.